



HOUSEWIRING AND SERVICE DROP LOAN

POLICY 101 – 98

As amended

INTRODUCTION:

Some members of the cooperative, especially those in the rural areas do not have the ready cash to buy electrical materials to be installed in their houses.

Assistance can be extended to those members by giving them housewiring loan in the form of electrical materials. Moreover, this assistance is maximized when the savings, which the cooperative generates through bulk purchases, is passed on to members.

To attain this, the Board of Directors hereby adopts the following policies:

1. The housewiring loan shall be granted only to duly qualified applicants as determined by BENECO.
2. Prospective applicants desiring to avail of the housewiring loan must file a duly accomplished application with the cooperative.
3. The applicant must secure a CO-MAKER who is an existing member-consumer and a resident in the District where he is registered as a member.
4. The housewiring loan shall not be given in cash. It shall be given in the form of electric wiring materials upon the completion of the requirements.
5. The maximum amount that the cooperative can loan to qualified applicant shall not exceed FIVE THOUSAND PESOS (P5,000.00).
6. The interest of the loan shall be TEN PERCENT (10%) per annum. NO INTEREST shall be imposed in the event the applicant is able to pay in full the loan within NINETY (90) calendar days after the release of the loan.
7. The loan shall be paid in TWO (2) years or twenty-four (24) equal installments.
8. In cases of repayment defaults, a SURCHARGE of TWO (2%) PERCENT per month shall be imposed.
9. The first repayment shall be collected ONE (1) month after the house of the applicant is energized. The amount shall be incorporated in the applicants power bill.
10. The installation of the housewiring should be done under the direct supervision of an accredited member of the Institute of Integrated Electrical



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Engineers (IIEE) Baguio Chapter, a duly licensed association in the Philippines in accordance with the New Electrical Code of the Philippines.

11. The BENECO Board delegates to the General Manager the authority to approve the loan subject to review when deemed necessary.

IMPLEMENTATION:

The General Manager shall be responsible in the effective implementation of this Policy. All other policies, resolutions and other similar actions by this Board are hereby therefore deemed amended and /or superceded as the case may be.

EFFECTIVITY:

This Policy, as amended further, shall be effective immediately after approval by the Board.

(SGD) VICTOR TORIO T. PALANGDAN
Secretary

(SGD) WILLIAM B. MENDOZA
President

APPROVED per Resolution No. 79-2002 dated June 08, 2002.